

INFOSYS LIMITED

Balance Sheet as at March 31,		Note	in ₹ crore	
EQUITY AND LIABILITIES			2014	2013
SHAREHOLDERS' FUNDS				
Share capital	2.1	286	287	
Reserves and surplus	2.2	41,806	35,772	
		42,092	36,059	
NON-CURRENT LIABILITIES				
Deferred tax liabilities (net)	2.3	-	56	
Other long-term liabilities	2.4	364	120	
		364	176	
CURRENT LIABILITIES				
Trade payables	2.5	68	178	
Other current liabilities	2.6	4,071	2,827	
Short-term provisions	2.7	6,117	3,788	
		10,256	6,793	
		52,712	43,028	
ASSETS				
NON-CURRENT ASSETS				
Fixed assets				
Tangible assets	2.8	5,719	4,425	
Intangible assets	2.8	13	28	
Capital work-in-progress		954	1,135	
		6,686	5,588	
Non-current investments	2.10	3,968	2,764	
Deferred tax assets (net)	2.3	542	378	
Long-term loans and advances	2.11	2,227	1,529	
Other non-current assets	2.12	52	31	
		13,475	10,290	
CURRENT ASSETS				
Current investments	2.10	2,749	1,580	
Trade receivables	2.13	7,336	6,365	
Cash and cash equivalents	2.14	24,100	20,401	
Short-term loans and advances	2.15	5,052	4,392	
		39,237	32,738	
		52,712	43,028	

SIGNIFICANT ACCOUNTING POLICIES

*As per our report of even date attached
for B S R & Co. LLP
Chartered Accountants
Firm's Registration Number:101248W*

for Infosys Limited

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Akhil Bansal <i>Partner</i> Membership No. 090906	N. R. Narayana Murthy <i>Executive Chairman</i>	S. Gopalakrishnan <i>Executive Vice-Chairman</i>	S. D. Shibulal <i>Chief Executive Officer and Managing Director</i>	K. V. Kamath <i>Director</i>
	R. Seshasayee <i>Director</i>	Dr. Omkar Goswami <i>Director</i>	Prof. Jeffrey S. Lehman <i>Director</i>	Ravi Venkatesan <i>Director</i>
	Kiran Mazumdar- Shaw <i>Director</i>	Srinath Batni <i>Director</i>	B. G. Srinivas <i>Director</i>	U.B.Pravin Rao <i>Director</i>
Bangalore April 15, 2014	Rajiv Bansal <i>Chief Financial Officer</i>	Parvathesam K <i>Chief Risk Officer and Company Secretary</i>		

INFOSYS LIMITED

Statement of Profit and Loss for the	Note	Quarter ended March 31,			Year ended March 31,
		2014	2013	2014	2013
Income from software services and products	2.16	11,366	9,329	44,341	36,765
Other income	2.17	802	647	2,576	2,215
Total revenue		12,168	9,976	46,917	38,980
Expenses					
Employee benefit expenses	2.18	6,053	5,199	24,350	19,932
Deferred consideration pertaining to acquisition	2.10.1	59	50	228	85
Cost of technical sub-contractors	2.18	640	524	2,596	1,731
Travel expenses	2.18	285	270	1,287	1,281
Cost of software packages and others	2.18	305	182	920	734
Communication expenses	2.18	85	70	329	289
Professional charges		136	117	474	504
Depreciation and amortisation expense	2.8	309	256	1,101	956
Other expenses	2.18	409	286	1,630	1,194
Total expenses		8,281	6,954	32,915	26,706
PROFIT BEFORE EXCEPTIONAL ITEM AND TAX		3,887	3,022	14,002	12,274
Dividend income	2.36	-	-	-	83
PROFIT BEFORE TAX		3,887	3,022	14,002	12,357
Tax expense:					
Current tax	2.19	1,080	738	4,063	3,361
Deferred tax	2.19	(76)	(21)	(255)	(120)
PROFIT FOR THE PERIOD		2,883	2,305	10,194	9,116
EARNINGS PER EQUITY SHARE					
Equity shares of par value ₹5/- each					
Before Exceptional item					
Basic		50.44	40.14	178.39	157.55
Diluted		50.44	40.14	178.39	157.55
After Exceptional item					
Basic		50.44	40.14	178.39	158.76
Diluted		50.44	40.14	178.39	158.76
Number of shares used in computing earnings per share	2.32				
Basic		57,14,02,566	57,42,36,166	57,14,02,566	57,42,32,838
Diluted		57,14,02,566	57,42,36,166	57,14,02,566	57,42,33,691

SIGNIFICANT ACCOUNTING POLICIES

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As per our report of even date attached for BSR & Co. LLP

Chartered Accountants

Firm's Registration Number : 101248W

for Infosys Limited

Akhil Bansal
Partner
Membership No. 090906

N. R. Narayana Murthy
Executive Chairman

S. Gopalakrishnan
Executive Vice-Chairman

S. D. Shibulal
Chief Executive Officer and
Managing Director

K. V. Kamath
Director

R. Seshasayee
Director

Dr. Omkar Goswami
Director

Prof. Jeffrey S. Lehman
Director

Ravi Venkatesam
Director

Kiran Mazumdar- Shaw
Director

Srinath Batni
Director

B. G. Srinivas
Director

U. B. Pravin Rao
Director

Bangalore
April 15, 2014

Rajiv Bansal
Chief Financial Officer
Parvathesam K
Chief Risk Officer and
Company Secretary

INFOSYS LIMITED

in ₹ crore

Cash Flow Statement for the	Year ended March 31,	2013
	2014	

CASH FLOWS FROM OPERATING ACTIVITIES

Profit before tax and exceptional item	14,002	12,274
Adjustments to reconcile profit before tax to cash generated by operating activities		
Depreciation and amortisation expense	1,101	956
Deferred purchase price	228	85
Profit on sale of assets	(1)	-
Interest and dividend income	(2,272)	(1,931)
Effect of exchange differences on translation of assets and liabilities	26	15
Effect of exchange differences on translation of foreign currency cash and cash equivalents	(34)	(45)
Changes in assets and liabilities		
Trade receivables	(971)	(961)
Loans and advances and other assets	(844)	(997)
Liabilities and provisions	1,542	690
	12,777	10,086
	(3,629)	(3,144)
	9,148	6,942

Income taxes paid

NET CASH GENERATED BY OPERATING ACTIVITIES

CASH FLOWS FROM INVESTING ACTIVITIES

Payment towards capital expenditure	(2,490)	(1,852)
Proceeds from sale of fixed assets	2	5
Investments in subsidiaries	(2)	(1,384)
Investment in fixed maturity plan securities	(100)	-
Investment in mutual fund units	(21,262)	(21,178)
Disposal of liquid mutual fund units	20,986	19,606
Investment in certificates of deposit	(1,233)	-
Redemption of certificates of deposit	450	336
Investment in tax free bonds	(927)	(308)
Interest and dividend received	2,269	1,868
	(2,307)	(2,907)

CASH FLOWS FROM INVESTING ACTIVITIES BEFORE EXCEPTIONAL ITEM

Dividend received

NET CASH USED IN INVESTING ACTIVITIES

CASH FLOWS FROM FINANCING ACTIVITIES

Proceeds from issuance of share capital on exercise of stock options	-	1
Loan given to subsidiary	(33)	(184)
Dividends paid	(2,686)	(2,698)
Dividend tax paid	(458)	(438)
	(3,177)	(3,319)

NET CASH USED IN FINANCING ACTIVITIES

Effect of exchange differences on translation of foreign currency cash and cash equivalents

NET INCREASE/(DECREASE) IN CASH AND CASH EQUIVALENTS

CASH AND CASH EQUIVALENTS AT THE BEGINNING OF THE PERIOD (includes ₹ 1 crore bank balances arising on consolidation of trust)

CASH AND CASH EQUIVALENTS AT THE END OF THE PERIOD

SIGNIFICANT ACCOUNTING POLICIES

As per our report of even date attached

for B S R & Co. LLP

Chartered Accountants

Firm's Registration Number : 101248W

for Infosys Limited

Akhil Bansal <i>Partner</i> Membership No. 090906	N. R. Narayana Murthy <i>Executive Chairman</i>	S. Gopalakrishnan <i>Executive Vice-Chairman</i>	S. D. Shibulal <i>Chief Executive Officer and Managing Director</i>	K. V. Kamath <i>Director</i>
	R. Seshasayee <i>Director</i>	Dr. Onkar Goswami <i>Director</i>	Prof. Jeffrey S. Lehman <i>Director</i>	Ravi Venkatesan <i>Director</i>
	Kiran Mazumdar -Shaw <i>Director</i>	Srinath Bami <i>Director</i>	B. G. Srinivas <i>Director</i>	U.B.Pravin Rao <i>Director</i>
Bangalore April 15, 2014	Rajiv Bansal <i>Chief Financial Officer</i>	Parvathesam K <i>Chief Risk Officer and Company Secretary</i>		

Significant accounting policies

Company overview

Infosys Limited ('Infosys' or 'the Company') along with its controlled trust, Infosys Science Foundation, majority-owned and controlled subsidiary, Infosys BPO Limited and its controlled subsidiaries ('Infosys BPO') and wholly-owned and controlled subsidiaries, Infosys Technologies (Australia) Pty. Limited ('Infosys Australia'), Infosys Technologies (China) Co. Limited ('Infosys China'), Infosys Technologies S. de R. L. de C. V. ('Infosys Mexico'), Infosys Technologies (Sweden) AB, ('Infosys Sweden'), Infosys Tecnologia DO Brasil LTDA. ('Infosys Brasil'), Infosys Public Services, Inc. USA ('Infosys Public Services'), Infosys Consulting India Limited, Infosys Americas Inc., ('Infosys Americas'), Edgeverve Systems Limited (Edgeverve), Infosys Technologies (Shanghai) Company Limited ('Infosys Shanghai') and Lodestone Holding AG and its controlled subsidiaries ('Infosys Lodestone') is a leading global services corporation. The Company provides business consulting, technology, engineering and outsourcing services to help clients build tomorrow's enterprise. In addition, the Company offers software products and platforms.

1 Significant accounting policies

1.1 Basis of preparation of financial statements

These financial statements are prepared in accordance with Indian Generally Accepted Accounting Principles (GAAP) under the historical cost convention on the accrual basis except for certain financial instruments which are measured at fair values. GAAP comprises mandatory accounting standards as prescribed by the Companies (Accounting Standards) Rules, 2006, the provisions of the Companies Act, 2013 (to the extent notified) and the Companies Act, 1956 (to the extent applicable) and guidelines issued by the Securities and Exchange Board of India (SEBI). Accounting policies have been consistently applied except where a newly issued accounting standard is initially adopted or a revision to an existing accounting standard requires a change in the accounting policy hitherto in use.

1.2 Use of estimates

The preparation of the financial statements in conformity with GAAP requires management to make estimates and assumptions that affect the reported balances of assets and liabilities and disclosures relating to contingent liabilities as at the date of the financial statements and reported amounts of income and expenses during the period. Examples of such estimates include computation of percentage of completion which requires the Company to estimate the efforts or costs expended to date as a proportion of the total efforts or costs to be expended, provisions for doubtful debts, future obligations under employee retirement benefit plans, income taxes, post-sales customer support and the useful lives of fixed tangible assets and intangible assets.

Accounting estimates could change from period to period. Actual results could differ from those estimates. Appropriate changes in estimates are made as the Management becomes aware of changes in circumstances surrounding the estimates. Changes in estimates are reflected in the financial statements in the period in which changes are made and, if material, their effects are disclosed in the notes to the financial statements.

1.3 Revenue recognition

Revenue is primarily derived from software development and related services and from the licensing of software products. Arrangements with customers for software development and related services are either on a fixed-price, fixed-timeframe or on a time-and-material basis.

Revenue on time-and-material contracts are recognized as the related services are performed and revenue from the end of the last billing to the Balance Sheet date is recognized as unbilled revenues. Revenue from fixed-price and fixed-timeframe contracts, where there is no uncertainty as to measurement or collectability of consideration, is recognized based upon the percentage of completion method. When there is uncertainty as to measurement or ultimate collectability revenue recognition is postponed until such uncertainty is resolved. Cost and earnings in excess of billings are classified as unbilled revenue while billings in excess of cost and earnings is classified as unearned revenue. Provision for estimated losses, if any, on uncompleted contracts are recorded in the period in which such losses become probable based on the current estimates.

Annual Technical Services revenue and revenue from fixed-price maintenance contracts are recognized ratably over the period in which services are rendered. Revenue from the sale of user licenses for software applications is recognized on transfer of the title in the user license, except in case of multiple element contracts, which require significant implementation services, where revenue for the entire arrangement is recognized over the implementation period based upon the percentage-of-completion method. Revenue from client training, support and other services arising due to the sale of software products is recognized as the related services are performed.

The Company accounts for volume discounts and pricing incentives to customers as a reduction of revenue based on the ratable allocation of the discount / incentive amount to each of the underlying revenue transactions that result in progress by the customer towards earning the discount / incentive. Also, when the level of discount varies with increases in levels of revenue transactions, the Company recognizes the liability based on its estimate of the customer's future purchases. If it is probable that the criteria for the discount will not be met, or if the amount thereof cannot be estimated reliably, then discount is not recognized until the payment is probable and the amount can be estimated reliably. The Company recognizes changes in the estimated amount of obligations for discounts using a cumulative catchup approach. The discounts are passed on to the customer either as direct payments or as a reduction of payments due from the customer.

The Company presents revenues net of indirect taxes in its statement of profit and loss.

Profit on sale of investments is recorded on transfer of title from the Company and is determined as the difference between the sale price and carrying value of the investment. Lease rentals are recognized ratably on a straight line basis over the lease term. Interest is recognized using the time-proportion method, based on rates implicit in the transaction. Dividend income is recognized when the Company's right to receive dividend is established.